BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
PRINCIPAL BENCH
NEW DELHI

Company Application No.CA (CAA)-122/PB/2018

Judgment dated: 30.05.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MR. S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

1. SV POWER PRIVATE LIMITED

... Applicant Company No.1/ Transferor Company No. 1

AND

2. SPECTRUM COAL AND POWER LIMITED

... Applicant Company No.2 / Transferor Company No.2

WITH

3. ACB (INDIA) LIMITED

... Applicant Company No.3 / Transferee Company

For the Applicants: Mr. Rakesh Kumar, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This is an application filed by the applicant companies under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'The Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'The Rules') in relation to the Scheme (for brevity the "SCHEME") proposed between the applicants.

2. An Affidavit in support of the application sworn for and on behalf of all Applicant Companies has been filed by one Ms. Sumati Maharia, Mr. Dalip Nagar and Mr. Satish Kumar Sharma being the authorized representative.

3. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act.

Learned Counsel has taken us through the averments made in the application as well as the typed set of documents annexed there with.

It is further represented that the application filed by the applicants is maintainable in view of Rule 3(2) of the Rules.

4. In relation to the Applicant Company No. 1, it has been represented that there are 2 shareholders, one out of them holding 95.41% in value has already placed his consent in the form of affidavit on record. We are further apprised that the Applicant Company No.1 has 4 Secured Creditors, all of whom have placed their consents in the form of affidavits and 47 Unsecured Creditors. In relation to the Unsecured Creditors, Applicant Company No. 1 seeks a direction for convening and holding of meetings for the purpose of obtaining their approval to the proposed Scheme.

5. In relation to the Applicant Company No. 2, it has been represented that there is one shareholder, who has already placed his consent in the form of affidavit on record. The Company has 6 Secured Creditors, 5 out of whom holding 94.23% in value have already placed their consent affidavits on record and 319 Unsecured Creditors. In relation to the Unsecured Creditors, Applicant Company No. 2 seeks a direction for convening the meetings for the purpose of obtaining their approval to the proposed Scheme.

6. In relation to the Applicant Company No.3, it has been represented that company has 32 Shareholders, 29 out of which holding 94.69% have placed their consent affidavits on record. It is submitted that the Company has 19 Secured Creditors, 11 out of which holding 92.79% in value have already placed their consent affidavits on record and 575 Unsecured Creditors who have not placed their consent-affidavits on record. In relation to the shareholders, Applicant Company No.3 seeks a direction for convening the meetings for the purpose of obtaining their approval to the proposed Scheme.

7. The above application has been placed before us and this Tribunal proceeds to entertain the same. We have perused the application and the connected documents filed along with the Scheme contemplated amongst the Applicant Companies.

8. Applicant Company No. 1 was incorporated under the provisions of the Companies Act, 1956. The authorised share capital of the Company is Rs.10,000,000,000/- divided into 1,000,000,000 equity shares of Rs.10/- each and issued, subscribed and paid-up share capital of the Applicant Company-1 is Rs. 4,104,645,610/- divided into 410,464,561 equity shares of Rs. 10/- each as on 31.03.2018.

9. Applicant Company No.2 was incorporated under the provisions of Companies Act, 1956. The authorised share capital is Rs.550,000,000/-

divided 55,000,000 equity shares of Rs.10/- each and the Issued, subscribed and paid-up share capital of the Applicant Company-2 is Rs.4,16,780,890 divided into 41,678,089 equity shares of Rs. 10/- each.

10. Applicant Company No. 3 was incorporated under the provisions of the Companies Act, 1956. The authorised share capital of the company is Rs10,000,000,000 only divided into 1,000,000,000 equity shares of Rs.10/- each and paid up share capital is 2,380,057,280 divided into 238,005,728 equity shares of Rs.10/- each.

11. The Board of Directors of the Applicant Companies vide separate meetings have unanimously passed resolutions and approved the proposed Scheme of Arrangement as contemplated above and copies of resolutions have also been placed on record by the Companies.

12. Taking into consideration the application and the documents filed therewith, we propose to issue the following directions with respect to calling, convening and holding of the meetings of the Shareholders, Secured and Unsecured Creditors or dispensing with the same which are as follows:-

A. In relation to the Transferor/ Applicant No. 1:

i. With respect to Shareholders:

It is represented by the Company that 95.41% of the Shareholders in the Company have already placed their consent affidavits on record. Hence, the necessity of convening and holding a meeting is obviated.

ii. With respect to Secured Creditors:

Since it is represented by the Company that there is all Secured Creditors in the Company have placed their consent-affidavits on record, therefore the necessity of convening and holding a meeting is obviated.

iii. With respect to Unsecured Creditors:

It is represented by the Company that there 47 Unsecured Creditors. Meeting to be held on 06.07.2019 at 11.00 AM at PHD Chamber of Commerce and Industry, PHD House, 4/2, Siri Institutional Area, August Kranti Marg, New Delhi-110016. The Quorum of the meeting shall be 25.

B. In relation to the Transferor/ Applicant No. 2:

i. With respect to Shareholders:

It is represented by the Company that all the Shareholders in the Company have already placed their consent affidavits on record. Hence, the necessity of convening and holding a meeting is obviated.

ii. With respect to Secured Creditors:

It is represented by the Company that there are 94.23%secured Creditors in the Company have already placed their consent affidavits on record. Hence, the necessity of convening and holding a meeting is obviated.

iii. With respect to Unsecured Creditors:

It is represented by the Company that there are 319 Unsecured Creditors in the Company. Meeting to be held on 06.07.2019 at 12.30 P.M. at PHD Chamber of Commerce and Industry, PHD House, 4/2, Siri Institutional Area, August Kranti Marg, New Delhi-110016. The Quorum of the meeting shall be 100.

C. In relation to the Transferor/ Applicant No. 3:

i. With respect to Shareholders:

It is represented by the Company that 94.69% of the Shareholders in the Company have already placed their consent affidavits on

record. Hence, the necessity of convening and holding a meeting is obviated.

ii. With respect to Secured Creditors:

It is represented by the Company that there are 92.79% secured Creditors in the Company have already placed their consent affidavits on record. Hence, the necessity of convening and holding a meeting is obviated.

iii. With respect to Unsecured Creditors:

iv. It is represented by the Company that there are 575 Unsecured Creditors in the Company. Meeting to be held on 06.07.2019 at 02.00 P.M. at PHD Chamber of Commerce and Industry, PHD House, 4/2, Siri Institutional Area, August Kranti Marg, New Delhi-110016. The Quorum of the meeting shall be 200.

D. In case the Quorum as noted above for the above meetings of the applicant companies are not present, in the meetings, then the meetings shall be adjourned for half an hour, and thereafter, the person present shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed

form, duly signed by the person entitled to attend and vote at the meeting, are duly filed with registered office of the applicant companies at least 48 hours before the meetings. The Chairperson and the Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained.

E. Shri Sanjay Thakur, Advocate (Mobile No.9810234312) is appointed as the Chairperson, Shri Sanjeev Singhal, CA is appointed as Alternative Chairperson for the meetings of Applicant Companies as has been directed to be convened by this Tribunal.

F. The fee for the Chairperson for the aforesaid meetings shall be INR Two Lacs and the fee for the Alternate Chairperson shall be INR One Lac in addition to meeting their incidental expenses. Mr. Naveen Singal, CA is appointed as a Scrutinizer for Applicant Companies and would be entitled to fee of INR One Lac for his services in addition to meeting his incidental expenses. The Chairperson will file their reports within two weeks from the date of holding of the above said meetings.

G. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the

scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of arrangement, a copy of explanatory statement. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act may also be duly sent with the notice.

H. That the applicant companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date, place and time as aforesaid, to be published in the English Daily '**Business Standard**' and Hindi Daily '**Jansatta**' stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

I. Voting shall be allowed on the proposed Scheme by voting in person or by proxy, as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. The Companies shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of

Delhi & Haryana, Official Liquidator, Income Tax Department and any sectoral regulators who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Sd/- 30.05.2019

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER (TECHNICAL)

(vidya)
30 .05.2019